

A-level
ECONOMICS
Paper 2 National and international economy
Predicted Paper Set A — Moderate
Macro data response and essays

MARK SCHEME and MODEL ANSWERS

Total paper mark: 80 | Section A: 40 marks | Section B: 40 marks

General marking guidance

- Examiners reward responses for what candidates have demonstrated, not penalised for omissions.
- Where a response falls between two levels, the mark awarded should reflect the quality of analysis and evaluation, not just the number of points made.
- Diagrams must be accurate and fully labelled to score full marks. A clear verbal description of the diagram may earn partial credit.
- Indicative content is not exhaustive. Alternative relevant arguments and examples should be credited on merit.
- For evaluation questions, credit the quality of judgement — a clear, reasoned conclusion supported by analysis is essential for the top level.

Assessment Objectives (AOs)

AO1 Knowledge and understanding of economic terms, concepts, theories and models.

AO2 Application of economic knowledge and understanding to various contexts.

AO3 Analysis of economic issues, showing understanding of their impact on economic agents.

AO4 Evaluation of economic arguments and use of qualitative and quantitative evidence to support informed judgements.

Section A — Data Response

UK Monetary Tightening, 2021–2024

01	Define the term 'real wages'.	2 marks
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Indicative content

Real wages are the purchasing power of nominal (money) wages after adjusting for the general price level. They measure what a worker can actually buy with their income, not the cash amount received.

Formula: Real wage = (Nominal wage / Consumer price index) × 100, or approximately
Real wage growth ≈ Nominal wage growth – inflation rate.

Application: Extract A states that real wages fell for the longest sustained period since records began — this means nominal wage growth was below CPI inflation (peaking at 11.1% in October 2022), so the purchasing power of pay declined even if headline pay rose.

Mark allocation (2 marks)

- **1 mark** — identification that real wages adjust for prices / inflation (not simply the amount paid).
- **1 mark** — further development: purchasing power, or the formula, or the distinction from nominal wages.

Award 2 marks for a clear definition stating that real wages are nominal wages adjusted for inflation / the purchasing power of wages. Award 1 mark for a partial definition (e.g. 'wages after tax and price changes' or simply mentioning inflation without explaining purchasing power).

02	Diagram and explanation: impact of higher interest rates on aggregate demand in the UK.	4 marks
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Indicative diagram

A standard AD/AS diagram with:

- Axes: Price level (vertical) and Real GDP / real output (horizontal).
- Upward-sloping SRAS curve and downward-sloping AD₁ curve; initial equilibrium at PL₁, Y₁.
- Higher interest rates cause AD to shift LEFT from AD₁ to AD₂.
- New equilibrium at PL₂ < PL₁ and Y₂ < Y₁.
- Optional: vertical LRAS curve to indicate the economy is operating below potential output.

Indicative written explanation

A rise in Bank Rate increases the cost of borrowing and the reward for saving. Through the transmission mechanism: (i) higher mortgage and consumer-credit rates reduce household disposable income, so consumption C falls; (ii) higher loan rates and a higher hurdle rate raise the cost of capital for firms, so investment I falls; (iii) a stronger sterling exchange rate ('hot money' inflows) makes UK exports dearer and imports cheaper, reducing net exports ($X - M$). Because $AD = C + I + G + (X - M)$, aggregate demand falls — the AD curve shifts left. At the new equilibrium both the price level and real GDP are lower, easing inflationary pressure.

Mark allocation (4 marks)

- **1 mark** — correctly labelled axes (Price level and Real GDP) with AD_1 , SRAS and initial equilibrium shown.
- **1 mark** — AD correctly shifted LEFTWARDS to AD_2 with new equilibrium at lower PL and lower Y .
- **1 mark** — identification of at least two transmission channels (C , I , or net exports) affecting AD.
- **1 mark** — clear causal chain: higher rates $\rightarrow$ reduced borrowing / higher saving $\rightarrow$ lower C and $I \rightarrow$ AD falls.

A clear verbal description of the diagram may earn up to 3 marks where a visual diagram is absent but the mechanism is fully explained.

03	Analyse the trade-off faced by the Bank of England between controlling inflation and maintaining economic growth.	9 marks
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Required economic content

- Definition of the trade-off: the Bank of England's single mandate (2% CPI target) can come at the cost of lower real output and higher unemployment in the short run — a classic Phillips-curve / AD-AS trade-off.
- Mechanism: raising Bank Rate cools aggregate demand, lowers the price level but also lowers real GDP and raises unemployment.

Required diagram

Candidates may use either an AD/AS diagram or a short-run Phillips curve (SRPC):

- AD/AS: initial equilibrium at PL_1 , Y_1 (above potential, with overheating). Rate rise shifts AD left to AD_2 ; new equilibrium shows lower PL_2 and lower Y_2 (possibly below LRAS). Welfare cost: lost output triangle.
- SRPC: movement along the curve — from point A (low unemployment, high inflation) to point B (higher unemployment, lower inflation) as the MPC tightens policy.

Application using the extracts

- **Extract A:** Bank Rate rose from 0.1% (Dec 2021) to 5.25% (Aug 2023); CPI peaked at 11.1% in Oct 2022 then fell to 4.0% by Dec 2023 — a clear successful tightening. However GDP growth slowed sharply and the UK narrowly avoided recession.

- **Extract B:** Real GDP growth fell from 7.6% (2021) to 0.1% (2023) and 0.6% (2024 est.) while CPI inflation fell from 9.1% to 3.2% — direct evidence of the trade-off working through the data.
- **Extract C:** Long and variable lags mean the trade-off is harder to manage — the MPC may over- or under-tighten. UK household debt-to-income >130% and 1.6m mortgages refinancing in 2024 amplify the impact on consumption, sharpening the growth cost.

Chains of reasoning expected

(i) Higher Bank Rate → higher mortgage and credit costs + higher savings reward → lower C and I → AD falls → lower price level (inflation falls) but also lower Y (output falls, potentially higher unemployment). Real wages may fall during adjustment (Extract A). (ii) The size of the trade-off depends on: the slope of the SRAS (how much output falls for a given demand squeeze), inflation expectations (if well-anchored, the cost of disinflation is smaller — the ‘sacrifice ratio’), and the source of inflation (cost-push inflation from imported energy is harder to address with rate rises than demand-pull inflation).

Mark scheme — levels

Level	Marks	Descriptor
Level 3	7–9	Detailed analysis with accurate AD/AS or Phillips-curve diagram. At least one sustained chain of reasoning linking rate rises to lower inflation AND lower growth. Substantial use of data from at least two extracts. Appropriate macroeconomic terminology.
Level 2	4–6	Sound analysis with a reasonable diagram. Chain of reasoning present but may be one-sided or partial. Some extract application.
Level 1	1–3	Limited analysis. Diagram missing or inaccurate. Little use of the extracts. Trade-off asserted rather than explained.

04

Evaluate the effectiveness of monetary policy as a tool for managing the UK macroeconomy.

**25
marks**

Arguments FOR the effectiveness of monetary policy

- **Hit the inflation target:** CPI fell from a peak of 11.1% (Oct 2022) to 4.0% by Dec 2023 and 3.2% by end-2024 (Extract B) — close to the 2% target. The MPC's 525 bp cumulative tightening clearly anchored expectations and broke the price pressure.
- **Soft landing on unemployment:** Extract A notes unemployment remained low at 4.2% during the tightening cycle, rising only modestly to 4.4% by 2024 — consistent with a mild slowdown rather than a deep recession.
- **Independence and credibility:** An operationally independent Bank of England insulates interest-rate decisions from political short-termism. Anchored expectations reduce the 'sacrifice ratio' — the output cost of disinflation.
- **Flexibility and frequency:** The MPC meets eight times a year; rate changes can be fine-tuned in response to incoming data, whereas fiscal policy is typically set annually and politically constrained.
- **Multiple transmission channels:** Interest-rate, exchange-rate, asset-price and expectations channels reinforce each other. Tighter rates also strengthened sterling, cheapening imports and supporting the disinflation.

Arguments AGAINST / evaluation

- **Long and variable lags:** Extract C explicitly cites the MPC's concern about transmission lags. By the time policy reaches the real economy the inflation problem may already have passed, risking over-tightening and unnecessary output loss.
- **Blunt and unequal:** Higher rates hit mortgage-holders and firms with heavy working-capital requirements hardest, while savers benefit. Distributional impact is regressive for the indebted, particularly given Extract C's 130% debt-to-income ratio and 1.6 million mortgages refinancing in 2024.
- **Weak against cost-push shocks:** Much of the 2022 inflation spike was imported (gas prices, supply-chain disruption) — monetary policy cannot correct such shocks, and attempts to do so may squeeze domestic demand unnecessarily.
- **Zero lower bound / diminishing returns:** Before 2021 Bank Rate was at 0.1% with QE already deployed — monetary policy had limited ability to stimulate further during the pandemic, explaining heavy reliance on fiscal policy.
- **Growth cost:** Real GDP growth collapsed from 7.6% to 0.1% (Extract B); real wages fell for the longest sustained period on record (Extract A). A narrow miss on technical recession suggests the instrument was very close to over-tightening.
- **Policy may amplify housing-market distortions:** Rate cuts in the 2010s arguably fuelled asset-price inflation; rate rises since 2022 have caused mortgage distress and reduced housebuilding.

Alternative / complementary policies

- Fiscal policy (government spending and taxation) — can be better targeted and more progressive, but politically constrained and slow.
- Supply-side policies (training, infrastructure, regulation) — address long-run potential output but take years to work.

- Direct regulation — e.g. prudential macroeconomic tools (FPC leverage limits).
- Income and wage policies — rarely used in the UK since the 1970s.

Expected judgement and conclusion

Monetary policy in 2021–2024 delivered its core mandate — CPI fell from 11.1% to 3.2% — without a deep recession or a collapse in employment. On the criteria that define its effectiveness (hitting inflation target while avoiding major growth costs), the MPC performed well. However, effectiveness was constrained by long lags, limited traction against cost-push shocks, and significant distributional costs especially for mortgage-holders. A strong conclusion would argue that monetary policy is effective for fine-tuning demand-pull inflation and anchoring expectations but works best alongside fiscal stabilisation (for targeted support) and supply-side reform (for potential output). The 2022–24 UK experience illustrates both the power and the limits of the interest-rate instrument.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated analysis and evaluation. Sustained chains of reasoning; accurate diagrams; substantial use of all three extracts and own knowledge; clear, well-supported judgement that explicitly addresses effectiveness criteria (target hit, costs, alternatives).
Level 4	16–20	Good analysis and evaluation. Diagram present and mostly accurate. Two or more developed evaluative points on each side. Supported judgement, possibly less nuanced.
Level 3	11–15	Sound analysis with some evaluation. Use of extracts is present but may be descriptive. Judgement may be asserted rather than reasoned.
Level 2	6–10	Some relevant analysis. Limited evaluation. Weak or partial use of extracts.
Level 1	1–5	Limited analysis; evaluation absent or generic. Little or no use of extracts.

Section B — Essay

Balance of payments and long-run growth

05	<i>Explain the main causes of a current account deficit on the UK's balance of payments.</i>	15 marks
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Required definitions

- **Current account:** one of the two main components of the balance of payments, recording trade in goods, trade in services, primary income (wages and investment income earned abroad), and secondary income (transfers).
- **Current account deficit:** arises when outflows on these items exceed inflows; the UK has run a persistent current account deficit since the mid-1980s.
- **Accounting identity:** $(S - I) + (T - G) = (X - M)$; a deficit therefore reflects a shortfall of domestic savings relative to domestic investment plus government borrowing.

Main causes (candidates should develop at least three in depth)

- **1. Long-run deindustrialisation:** The UK's manufacturing share of GDP has fallen from ~25% in 1980 to under 10% today. Imports of manufactured goods now substantially exceed exports, producing a persistent goods deficit.
- **2. High marginal propensity to import:** UK consumer preferences and the composition of UK demand are heavily weighted toward imported finished goods, consumer electronics and clothing. As UK income rises, imports grow faster than exports (high YED for imports).
- **3. Low domestic savings rate:** The UK household savings ratio has historically been low by international standards; a savings-investment gap corresponds, by national-accounting identity, to a current account deficit.
- **4. Sterling over-valuation at times:** Periods of relatively strong sterling (for example, much of the 2000s) raise export prices abroad and make imports cheaper, worsening net exports.
- **5. Decline of North Sea oil and gas:** The UK shifted from being a net energy exporter in the 1980s to a net importer, driving the goods deficit.
- **6. Brexit and trade frictions:** Additional customs checks, rules-of-origin requirements and non-tariff barriers since 2021 have raised the cost of exporting to the EU, reducing UK goods exports.
- **7. Primary-income deterioration:** Large stocks of inward FDI mean profits earned in the UK are repatriated to foreign parents, while UK-owned assets abroad generate lower returns. This has flipped the primary-income account from surplus to deficit since the late 2000s.

Optional diagram

Candidates may use an AD/AS diagram to show how rising $(X-M)$ deficit reduces AD, or an exchange-rate diagram showing the effect of sterling appreciation/depreciation on net

exports. Neither is required — the question is an explain not ‘with the help of a diagram’ question.

Expected content for top-band responses

- At least three fully-developed causes with accurate mechanism (not just lists).
- Mention of the services surplus (UK strong in financial and business services) which partially offsets, but does not fully cover, the goods deficit.
- Reference to the savings-investment identity ($S - I = X - M$) or the twin-deficits framework.
- Use of appropriate macroeconomic terminology: marginal propensity to import, income elasticity of demand for imports, terms of trade, real effective exchange rate.

Mark scheme — levels

Level	Marks	Descriptor
Level 4	13–15	Fully developed explanation with at least three distinct, well-argued causes. Accurate use of macroeconomic terminology (MPM, YED for imports, savings-investment gap). Real-world evidence (e.g. deindustrialisation, Brexit, FDI flows) throughout.
Level 3	9–12	Sound explanation with three causes but at least one is under-developed. Some real-world reference. Mostly accurate terminology.
Level 2	5–8	Some understanding. Two causes identified or three asserted without mechanism. Terminology imprecise.
Level 1	1–4	Descriptive only. One cause identified; limited economic analysis; confusion between current and capital accounts possible.

06

Evaluate: “Supply-side policies are more effective than demand-side policies in achieving long-run economic growth.”

**25
marks**

Key definitions

- **Long-run economic growth:** an increase in the productive potential of the economy — shown as a rightward shift of LRAS on an AD/AS diagram (or an outward shift of the PPF).
- **Supply-side policies:** interventions that raise productive capacity — e.g. investment in education and training, infrastructure, R&D subsidies, labour-market reforms, tax cuts on enterprise, deregulation.
- **Demand-side policies:** fiscal and monetary interventions that shift AD — e.g. tax cuts, government spending, interest-rate changes.

Arguments FOR the statement (supply-side more effective for long-run growth)

- **Only supply-side shifts LRAS:** In a classical framework, long-run growth can only come from an expansion of factor quantity or quality (labour, capital, productivity). Demand-side policies raise price level but not potential output.
- **Non-inflationary growth:** Supply-side growth delivers higher output without upward pressure on the price level; demand-side stimulus eventually runs into capacity constraints, producing inflation.
- **Productivity channel:** Investment in education (e.g. the post-2017 apprenticeship levy, T-Levels), infrastructure (HS2, Crossrail), and R&D (R&D tax credits worth £7.5bn a year) raises output per worker — the only sustainable route to higher living standards.
- **International evidence:** Germany and South Korea have posted sustained per-capita growth by sustained supply-side investment in skills and infrastructure; UK productivity has stagnated since 2008 partly because supply-side investment has been weak.

Arguments AGAINST (demand-side also matters for long-run growth)

- **Hysteresis:** Prolonged recessions permanently reduce LRAS through skill erosion, under-investment and firm closures. Demand-side policies that prevent deep recessions therefore protect long-run potential. The COVID-19 furlough scheme is a clear UK example.
- **Investment accelerator:** Investment (a component of AD) is also a component of LRAS in the long run. Demand-side stimulus that raises capacity utilisation encourages firms to invest, raising future potential output.
- **Demand-side policies have supply-side consequences:** Public investment (e.g. infrastructure, R&D grants) is fiscal demand-side spending that directly raises LRAS. The distinction is partly artificial — many policies are hybrid.
- **Time lags and uncertainty:** Supply-side reforms (education, infrastructure) take 10–20 years to show results. The UK productivity puzzle (2008–present) suggests supply-side reforms have been ineffective or mis-targeted.
- **Distributional concerns:** Some market-friendly supply-side reforms (deregulation, labour flexibility) can increase inequality, reduce worker protection and lower aggregate demand, potentially harming long-run growth.

- **Keynesian view:** Without adequate demand, potential output goes unused (output gap). Demand-side policy is necessary to ensure supply capacity is translated into realised output.

UK examples to deploy

- Post-2010 austerity: demand-side contraction associated with the UK's 'productivity puzzle' and weak investment since the crisis.
- COVID-19 furlough scheme (2020–21): demand-side intervention that protected long-run capacity by preventing mass layoffs and firm failures.
- Corporation-tax cuts (2010–17) followed by rises (2023): supply-side tools with mixed evidence of success.
- Levelling-up agenda: regional infrastructure investment — both demand-side stimulus and supply-side capacity building.
- Brexit: a supply-side shock that reduced openness, labour supply and investment — suggesting supply-side policy can go backwards.

Analytical framework

An AD/AS diagram is useful: long-run growth requires LRAS to shift right (supply-side); demand-side policies shift AD. However, AD and LRAS are linked through investment and hysteresis: sustained AD weakness shifts LRAS leftwards, and sustained AD strength can trigger higher investment which shifts LRAS right. The binding constraint depends on context — in a deep recession, demand is the limiting factor; in a booming economy at full capacity, only supply-side policy can deliver further real growth.

Expected judgement and conclusion

The strongest answer recognises that the supply-side vs demand-side framing is partly false: well-designed demand-side policy supports long-run capacity through hysteresis avoidance and investment encouragement, while well-designed supply-side policy raises potential output only if demand is adequate to absorb it. The most defensible conclusion is conditional: supply-side policies are typically more effective at raising potential output when the economy is close to full capacity, but demand-side policies are essential when the economy is depressed or when preventing hysteresis. The UK experience since 2008 supports this balanced view — austerity may have damaged long-run growth as much as weak supply-side investment has.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated, balanced analysis and evaluation. Accurate AD/AS diagram(s). Multiple UK examples on each side. Clear, nuanced judgement that addresses the 'more effective' comparison directly. Uses hysteresis / investment-accelerator / productivity channels.
Level 4	16–20	Good analysis and evaluation. At least one diagram. Two or more UK examples. Supported judgement, possibly less nuanced.
Level 3	11–15	Sound analysis with some evaluation. One or two UK examples. Judgement may be asserted rather than reasoned.

Level	Marks	Descriptor
Level 2	6–10	Limited analysis. Evaluation weak or superficial. Few examples.
Level 1	1–5	Descriptive only. Little or no evaluation.

Summary of Marks

Question	Topic	AO focus	Marks
0 1	Definition — real wages	AO1	2
0 2	Higher interest rates and AD — AD/AS diagram	AO1, AO2	4
0 3	Inflation vs growth trade-off at the Bank of England	AO1, AO2, AO3	9
0 4	Effectiveness of UK monetary policy — evaluation	AO1–AO4	25
0 5	Causes of a UK current account deficit	AO1, AO3	15
0 6	Supply-side vs demand-side policies — evaluation	AO1–AO4	25
TOTAL	Paper 2: National and International Economy	—	80

END OF MARK SCHEME